

**BAKER
HUGHES**

Rpt Date 04/Aug/2006			Well Name/No Bilabri D 2			Section Name/No 17-1/2" Section #3			Mud System AQUA-DRILL								
Job# 1		Spud Date 05/Jul/2006			MD 1579.00 m			Progress 208.00 m			Present Activity Drilling Formation						
Operator Peak Petroleum Indust. Limited				Company Rep Robert Montgomery/Chris Newton				Contractor Dolphin Drilling Ltd			Contractor Rep Paul Sheppard/Nolan Troy						
Field/Lease Bilabri			Blk/Co/Parish OML - 122 / Nigeria				Area Offshore		Country/State Nigeria			Rig BULFORD DOLPHIN					
Drilling Assembly						Casing		Volumes	Pump Information								
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
17 1/2		Smith International		S3SP			19 1/2	178.00	Total Hole	Continental Ensco FA-1600		7	12.00	94.0	0.1342	67	378
Drill Collars			Drill Pipe			30	28	269.00	1595.6	Continental Ensco FA-1600		7	12.00	94.0	0.1342	68	383
OD in	ID in	Length m	OD in	ID in	Length m	20	19.124	459.00	Active Pits	Continental Ensco FA-1600		7	12.00	94.0	0.1342	0	
9 7/16	3 1/8	8.82	5	4.276	1308.64		17 1/2	1579.00	431								
9 1/2	2 7/8	8.64	5	3	167.00				Tot Active								
8	2 7/8	45.33							2026.6	Circulation Times							
8	2 7/8	9.17							In Storage	Surface to Bit		4.7 min/634stks		Total System		110.8 min/14958stks	
									796	Bottoms Up		82.3 min/11113stks					
Mud Properties						Max Ann Velocity			Hole Information								
Property		Fluid Spec	1	2	3	AV Riser	52.51 ft/min	Standpipe Pressure		1970 psi		Water Depth		152.00 m			
Sample From			Active Pit	Active Pit	Flow Line	AV Casing	54.75 ft/min	Hole Flow		761 USgal/min		Riser Booster Rate		USgal/min			
Check Time			06:00	16:30	21:40	AV Open Hole	4279.12 ft/min	Solids Analysis									
MD m			1483.00	1521.00	1576.80	Vc Open Hole	248.70 ft/min	Property	1	2	3	4					
TVD m			1483.00	1519.98	1576.00	Vc Drill Pipe	221.91 ft/min	LGS %	4.87	2.37	2.19						
Bit Depth m			1483.00	1521.00	1576.80	Min Ann Velocity		LGS lb/bbl	44.37	21.61	19.93						
Inc deg			0.34	0.28	0.37	AV Riser	52.51 ft/min	HGS %	0.00	0.00	0.00						
Density ppg			9.00	9.45	9.20	9.15	AV Casing	54.75 ft/min	HGS lb/bbl	0.00	0.00	0.00					
Funnel Visc. sec/quart			44.0	45.0	44.0	AV Open Hole	66.33 ft/min	Bentonite %	0.00	0.00	0.00						
Circ BHTdegF			110.0	102.4	110.5	Bit Information		Bentonite lb/bbl	0.00	0.00	0.00						
Flow Line Temp degF			90.0	91.0	96.0	Size	17 1/2 in	Drill Sol %	4.87	2.37	2.19						
Test Temp degF			85.0	85.0	85.0	Hours On Bit		Drill Sol lb/bbl	44.37	21.61	19.93						
Rheol Temp degF			110.0	110.0	110.0	Bit Number	2	Avg Dens Sol sg	3.2539	2.5231	2.2978						
PV cP			14	10	12	BHA Number	1	Rheology									
YP lbf/100ft^2			18	20	18	Depth In	459.00 m	600 RPM	46	40	42						
10sec Gel lbf/100ft^2			5	4	5	Bit RPM		300 RPM	32	30	30						
10min Gel lbf/100ft^2			7	6	6	WOB	klbf	200 RPM	23	22	22						
API Filtrate cc			5.8	6.0	5.4	Nozzles	28:3x22	100 RPM	16	16	17						
API Cake in/32			2.0	2.0	2.0	Bit Hydraulics		6 RPM	5	4	6						
pH			9	9.2	9.5	TFA	1.7150 in^2	3 RPM	4	3	4						
Pm			0.3	0.4	0.3	Nozzle Vel	142.4 ft/sec										
PF			0.1	0.2	0.1	Bit Press Loss	166 psi										
MF			0.5	0.6	0.6	HHP / Area	0.31 HP/in^2	Hydraulic Analysis									
Excess Lime lb/bbl			0.1	0.1	0.1	HHP	11.0 %	Behavior Index (n)			0.413						
Hardness mg/l			380.0	420.0	400.0				Consistency Index (k)			2.178 #sec^n/100ft^2					
Chlorides mg/l			56000	64000	61000				ECD @ Bit Depth			10.38		ppg			
K mg/l			31641	34870	33802				ECD @ Casing Shoe			9.18		ppg			
NaCl mg/l			45223	53608	50250	Fluid Comments/ Recommendations											
KCl mg/l			60330	66487	64450	Had MW increase to 9.5 ppg while drilling through fine sand. Circ to cut back MW. Dumped entire solids control tank (sand traps, desander, desilter & degasser tanks), gumbo box & cleaned out same. Washed & clean sand bed from flow line to the pits. Circ slowly while utilizing the centrifuge & 175 mesh screens on the shakers. Dumped some heavy mud and dilute system with fresh 9.0 ppg mud to achieve average of 9.2 ppg MW in/out. Drill ahead with 175 mesh screens on shakers. Made more mud to replenish dilution volume. Conditioning active system with sacked KCl, Soltex, Aquacol-D for inhibition, wellbore stability & lubricity while drilling through predominantly shale. Maintaining low rheology to enhance shaker accommodation of optimal flow.											

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria							
Rig BULFORD DOLPHIN													
Solids Control Equipment													
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments						
CENTRIFUGE	1	SWACO	20.0		30.0	0.0							
CENTRIFUGE	2	SWACO	0.0		0.0	0.0							
DESANDER	1	SWACO	0.0		0.0	0.0							
DESILTER	1	SWACO	22.0		50.0	0.0							
MUD CLEANER	1	SWACO	22.0	3 x 210	80.0	0.0							
SHALE SHAKER	1	Brandt	0.0		0.0	0.0							
SHALE SHAKER	1	Derrick Equipments Co	22.0	3 x 175	80.0	0.0							
SHALE SHAKER	2	Brandt	0.0		0.0	0.0							
SHALE SHAKER	2	Derrick Equipments Co	22.0	3 x 175	80.0	0.0							
SHALE SHAKER	3	Derrick Equipments Co	22.0	3 x 175	80.0	0.0							
SHALE SHAKER	3	Brandt	0.0		0.0	0.0							
				Total Volume Lost	400	0							
Volumes													
Additions bbl			Losses bbl			Total Volumes bbl							
Mud Added		Weight Materials		Downhole	110	Left In Pit	Starting Volume	2386	Riser w/o Pipe	213.3			
Brine	384	Water	1100	Cased Off		Trip Losses	Daily Additions	1536.4	Casing w/o Pipe	329.9			
Base Fluid		Product	52.4	Left In Hole		Injected	Daily Losses	1100	Open Hole w/o Pipe	1113.7			
Recycled		Other		Discharged	550	Spill To Environment	Ending Volume	2822.4	String Displacement	61.2			
				SCE	400	Onshore Disposal	Net Change	436.4	String Capacity	85.1			
				Evaporation		Returned			Total Hole w/ Pipe	1595.6			
				Other Losses	40				Total Active	2026.6			
									Total Reserve	796.0			
IADC Hours													
Drilling Formation			7	Circulate		5	Miscellaneous		2	Drilling Formation	10		
BHDF Fluids Rep Waboso Peter/Ayo Okomayin		BHDF Rep Phone 234-803-402-0440		Warehouse Onne		Warehouse Phone 234-84-462609		Coordinator Lawson Ogaree		Daily Cost 53659.04 USD	Cumulative Cost 526092.42 USD	Inventory Value 255248.35 USD	Page 2
Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.													

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN			
Primary Currency USD				Secondary Currency			Totals USD					
Daily Product Cost		52759.04		Daily Product Cost		0.00		Primary Product		495942.42		
Daily Tax		0.00		Daily Tax		0.00		Secondary Product		0.00		
Debit/Credit		0.00		Debit/Credit		0.00		Primary Engineering		30150.00		
Daily Engineering Cost		900.00		Daily Engineering Cost				Secondary Engineering		0.00		
Total Daily Cost		53659.04		Total Daily Cost		0.00		Primary Total		526092.42		
Total Inventory Value		255248.35		Total Inventory Value		0.00		Secondary Total		0.00		
								Deck Load		289.54 UK ton		
Products and Services												
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Bulk												
BARITE - Imported		1000 kg	258						258	2.65	0.55	
Water Based Product												
AQUA-COL D		55 USgal	11		8			11	8			
CALCIUM CHLORIDE (97%)		50 lb	2						2			
CAUSTIC SODA		25 kg	40					8	32	0.42	0.12	
CITRIC ACID MONOHYDRATE		25 kg	6						6			
DRISPAC LV		25 kg	75					35	40	0.66	1.15	
LIQUID NEWDRILL PLUS		5 USgal	22						22			
MIL-PAC R		25 kg	80					15	65	0.88	0.63	
MIL-PAC LV		25 kg	69					9	60	0.44	0.38	
NEW-DRILL PLUS		55 lb	182					32	150	1.57	1.33	
POTASSIUM CHLORIDE		25 kg	680					280	400	14.39	12.70	
POTASSIUM CHLORIDE BRINE		1 bbl	384					384		79.36	77.11	
PROTECTOMAGIC M		25 kg	73						73	0.05		
SODA ASH		25 kg	84					35	49	0.92	1.30	
XANTHANGUM D		25 kg	73						73	1.14	0.39	
XCIDE 102		55 USgal	1						1	0.08	0.02	
LCM												
CALCIUM CARBONATE - FINE		25 kg	40						40	0.45	0.02	
CALCIUM CARBONATE - MED		25 kg	60						60	0.93	0.36	
KWIKSEAL - MEDIUM		50 lb	40						40	0.60	0.32	
MIL-PLUG FINE		50 lb	84						84			
MIL-SEAL MEDIUM		50 lb	90						90			
SOLUFLAKE F		50 lb	78						78	0.01		
Other												
SOLTEX		25 kg			80			40	40	2.17	0.64	
BHDF Fluids Rep		BHDF Rep Phone		Warehouse	Warehouse Phone		Coordinator	Daily Cost		Cumulative Cost	Inventory Value	Page 3
Waboso Peter/Ayo Okomayin		234-803-402-0440		Onne	234-84-462609		Lawson Ogaree	53659.04 USD		526092.42 USD	255248.35 USD	
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